17. Income Taxes

Earnings (loss) before income taxes are as follows for Fiscal 2010, the Transition Period, Fiscal 2009 and Fiscal 2008:

	(in thousands)			
	Year Ended	35 Weeks Ended	Years Ended	
	January 29, 2011	January 30, 2010	May 30, 2009	May 31, 2008
Earnings (Loss) before income taxes	$ 53,128	$ 30,223	$ (338,972)	$ (74,274)

Income tax expense (benefit) is as follows for Fiscal 2010, the Transition Period, Fiscal 2009 and Fiscal 2008:

	(in thousands)			
	Year Ended	35 Weeks Ended	Years Ended	
	January 29, 2011	January 30, 2010	May 30, 2009	May 31, 2008
Current:				
Federal	$ 11,229	$ 27,191	$ (2,889)	$ 32,225
State and Other	10,015	4,194	(394)	15,441
Subtotal	21,244	31,385	(3,283)	47,666
Deferred:				
Federal	3,241	(14,278)	(107,924)	(57,177)
State	(2,355)	(5,537)	(36,182)	(15,793)
Subtotal	886	(19,815)	(144,106)	(72,970)
Total income tax expense (benefit)	$ 22,130	$ 11,570	$ (147,389)	$ (25,304)

The tax rate reconciliations are as follows for Fiscal 2010, the Transition Period, Fiscal 2009 and Fiscal 2008:

Year Ended	35 Weeks Ended	Years Ended

	January 29, 2011	January 30, 2010	May 30, 2009	May 31, 2008
Tax at statutory rate (%)	35.0%	35.0%	(35.0)%	(35.0)%
State income taxes, net of federal benefit	8.9	1.2	(7.8)	(1.0)
Change in valuation allowance	(2.3)	(5.3)	0.7	-
Other charges (benefits)	0.5	6.7	(0.2)	0.5
Tax credits	(2.6)	(4.1)	(0.5)	(2.1)
Tax reserves	2.2	4.8	(0.7)	3.5
Effective tax rate (%)	41.7%	38.3%	(43.5)%	(34.1)%

The tax effects of temporary differences are included in deferred tax accounts as follows:

Period Ended	*(in thousands)*			
	January 29, 2011		January 30, 2010	
	Tax Assets	Tax Liabilities	Tax Assets	Tax Liabilities
Current deferred tax assets and liabilities:				
Allowance for doubtful accounts	$ 69	$ -	$ 202	$ -
Compensated absences	658	-	751	-
Inventory costs and reserves capitalized for tax purposes	11,990	-	12,930	-
Insurance reserves	9,576	-	8,768	-
Prepaid items deductible for tax purposes	-	9,433	-	7,981
Sales return reserves	3,037	-	3,859	-
Reserve for lawsuits	2,781	-	4,571	-
Accrued interest (IRS audit settlement)	323	-	277	-
Prepaid items taxable for tax purposes	501	-	143	-
Unrealized gain/loss on investments	-	-	-	-
Deferred revenue	1,779	-	3,796	-
Incentive Compensation	4,939	-	4,268	-
Other	319	-	344	-
Valuation allowance (net of federal benefit)	(1,704)	-	(2,285)	-
Total Current deferred tax assets and liabilities	$ 34,268	$ 9,433	$ 37,624	$ 7,981
Non-Current deferred tax assets and liabilities:				

Property and equipment basis adjustments	$ -	$ 117,441	$ -	$ 104,708
Deferred rent	22,716	-	19,119	-
Pre-opening costs	-	-	172	-
Intangibles – Long-Lived	-	150,438	-	162,401
Intangibles – Indefinite-Lived	-	93,916	-	93,994
Insurance reserves	9,283	-	8,517	-
Stock based compensation	4,968	-	4,108	-
State net operating losses (net of federal benefit)	9,286	-	11,212	-
Valuation allowance (net of federal -benefit)	(4,104)	-	(4,728)	-
Prepaid items taxable for tax purposes	764	-	1,566	-
Landlord allowances	28,692	-	28,584	-
Accrued interest	3,728	-	2,980	-
Other	7,183	-	6,340	-
Total non-current deferred tax assets and liabilities	$ 82,516	$ 361,795	$ 77,870	$ 361,103

The Company's net deferred tax position is a net deferred tax liability of $254.4 million and $253.6 million as of January 29, 2011 and January 30, 2010, respectively.

Over the past three fiscal periods, the Company has generated a cumulative loss for financial statement purposes. As a result, management performed an analysis of the deferred tax assets to assess whether significant positive evidence exists to demonstrate that it is more likely than not that they will be realized and to determine the appropriate level of valuation allowance necessary. In performing this analysis, management considered the fact that the Company has historically been in a federal taxable position, projected future taxable income, the expected timing of the reversal of existing deferred tax liabilities and deferred tax assets, and the prior year operating results excluding non-recurring items. Based on the available evidence, management has determined that it is more likely than not that all of the recorded deferred tax assets, with the exception of certain state net operating losses, will be realized in future periods; therefore, no valuation allowances for federal income taxes are necessary.

As a result of the Merger Transaction in 2006, the Company incurred a change in ownership as defined by Section 382 of the Internal Revenue Code. Section 382 imposes limitations on a corporation’s ability to utilize its net operating loss carryforwards if it experiences an “ownership change.” In general terms, an ownership change results from transactions increasing the ownership of certain stockholders in the stock of a corporation by more than 50% over a three-year period. The Company’s ability to utilize its state net operating loss carryforwards are subject to similar state income tax law restrictions.

The Company determined that, as of January 29, 2011 and January 30, 2010, a valuation allowance against a portion of the deferred tax assets associated with state net operating losses was appropriate. GAAP requires companies to weigh both positive and negative evidence in determining the need for a valuation allowance. Management determined that valuation allowances of $5.8 million and $7.0 million, were required against the $9.2 million and $11.2 million, of tax benefits associated with these state net operating losses. The decrease in the Company’s valuation allowance was primarily attributable to a change in the Company's state net operating loss position which resulted in a reduction in the state net operating loss deferred tax asset and a corresponding reduction in the associated valuation allowance. The Company still believes that it is more likely than not that some amount of the benefit of the state net operating losses will not be realized. The state net operating losses have been generated in a number of

taxing jurisdictions and are subject to various expiration periods ranging from five to twenty years beginning with the Company's 2010 fiscal year. Commencing during the Transition Period, the provisions of Topic No. 805 were effective for the Company, and any future tax benefits related to the recognition of any state tax net operating losses, where a valuation allowance has been established, will be recorded to the Company's Consolidated Statements of Operations and Comprehensive Income (Loss).

The Company adopted the provisions of FASB Interpretation ("FIN") No. 48, *"Accounting for Uncertainty in Income Taxes – An Interpretation of FASB Statement No. 109,"* as codified in Topic No. 740, as of June 3, 2007. Topic No. 740 prescribes a recognition threshold and measurement attributes for financial statement disclosure of tax positions taken or expected to be taken on a tax return, and requires that the Company recognize in its financial statements the impact of a tax position taken or expected to be taken in a tax return, if that position is "more likely than not" of being sustained upon examination by the relevant taxing authority, based on the technical merits of the position. The tax benefits recognized in the financial statements from such a position are measured based on the largest benefit that has a greater than fifty percent likelihood of being realized upon ultimate resolution. Additionally, Topic No. 740 provides guidance on derecognition, classification, interest and penalties, accounting in interim periods, disclosure and transition.

Upon adoption, the cumulative effect of applying the provisions of Topic No. 740 was an increase of approximately $48.9 million in the liability for unrecognized tax benefits and related interest and penalty, a $39.2 million decrease in the deferred income tax liability and a $9.7 million increase in the accumulated deficit.

A reconciliation of the beginning and ending amount of gross unrecognized tax benefits (exclusive of interest and penalties) is as follows:

(in thousands)

	Gross Unrecognized Tax Benefits, Exclusive of Interest and Penalties
Ending balance at May 31, 2008	$ 38,003
Additions for tax positions of the current year	1,275
Additions for tax positions of prior years	147
Reduction for tax positions of prior years	(1,436)
Settlements	(12,706)
Lapse of statute of limitations	(155)
Ending balance at May 30, 2009	$ 25,128
Additions for tax positions of the current year	-
Additions for tax positions of prior years	-
Reduction for tax positions of prior years	(1,923)
Settlements	-
Lapse of statute of limitations	-
Ending balance at January 30, 2010	$ 23, 205
Additions for tax positions of the current year	-
Additions for tax positions of prior years	1,590
Reduction for tax positions of prior years	(1,524)
Settlements	-
Lapse of statute of limitations	-
Ending balance at January 29, 2011	$ 23,271

As of January 29, 2011, the Company reported total unrecognized benefits of $ 23.3 million, of which $9.1 million would affect the Company's effective tax rate if recognized. As a result of previous positions taken, the Company recorded $1.8 million of interest and penalties during Fiscal 2010 in the line item "Income Tax Expense (Benefit)" in the Company's Consolidated Statements of Operations and Comprehensive Income (Loss). Cumulative interest and penalties of $12.6 million have been recorded in the line item "Other Liabilities" in the Company's Consolidated Balance Sheet as of January 29, 2011. The Company recognizes interest and penalties related to unrecognized tax benefits as part of income taxes. Within the next twelve months, the Company does not expect a material change in its Topic No. 740 liability.

As of January 30, 2010, the Company reported total unrecognized benefits of $ 23.2 million, of which $9.1 million would affect the Company's effective tax rate if recognized. As a result of previous positions taken, the Company recorded $1.4 million of interest and penalties during the Transition Period in the line item "Income Tax Expense (Benefit)" in the Company's Consolidated Statements of Operations and Comprehensive Income (Loss). Cumulative interest and penalties of $10.8 million have been recorded in the line item "Other Liabilities" in the Company's Consolidated Balance Sheet as of January 30, 2010.

As of May 30, 2009, the Company reported total unrecognized benefits of $25.1 million, of which $9.1 million would affect the Company's effective tax rate if recognized. As a result of previous positions taken, the Company recorded a reduction of $7.2 million of interest and penalties during Fiscal 2009 in the line item "Income Tax (Benefit)" in the Company's Consolidated Statements of Operations and Comprehensive Income (Loss). Cumulative interest and penalties of $9.3 million have been recorded in the line item "Other Liabilities" in the Company's Consolidated Balance Sheet as of May 30, 2009.

As of May 31, 2008, the Company reported total unrecognized benefits of $38.0 million, of which $8.3 million would affect the Company's effective tax rate if recognized. As a result of previous positions taken, the Company recorded $4.0 million of interest and penalties during Fiscal 2008 in the line item "Income Tax (Benefit)" in the Company's Consolidated Statements of Operations and Comprehensive Income (Loss). Cumulative interest and penalties of $16.6 million have been recorded in the line item "Other Liabilities" in the Company's Consolidated Balance Sheet as of May 31, 2008.

The Company files tax returns in the U.S. federal jurisdiction and various state jurisdictions. The Company is open to audit by the Internal Revenue Service ("IRS") for fiscal years 2006 through 2010, which includes the Transition Period, under the applicable statutes of limitations. The Company or its subsidiaries' state income tax returns are open to audit for the fiscal years 2006 through 2010, which includes the Transition Period, under the applicable statutes of limitations. The Company's federal income tax returns for Fiscal 2006 and Fiscal 2007 are currently under examination by the IRS. The Company does not expect that the results of this examination will have a material effect on our financial condition or results of operations. The IRS and the Company agreed to a settlement related to audits of the Company's Fiscal 2004 and Fiscal 2005 years in the amount of $10.4 million plus interest of $3.1 million that was paid in January 2010.

The Small Business Jobs Act of 2010 and The Tax Relief, Unemployment Insurance Reauthorization and Job Creation Act of 2010 ("2010 Tax Relief Act") extended 50% bonus depreciation for qualifying property through 2012 and created a new 100% bonus depreciation for qualifying property placed in service between September 9, 2010 and December 31, 2011. The impact on cash flow for FYE 01/29/2011 is approximately $7.7 million, which represents an acceleration of tax benefits that would have otherwise been deductible over the life of the qualifying assets. The cash flow benefit of 100% bonus depreciation for the period 01/30/2011 - 01/28/2012 has not yet been determined.